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Case Number: 26NWCV00511 Hearing Date: September 1, 2026 Dept: D

AUTO FINANCE SOLUTIONS, LLC

V. GHOLAM BAAHMADI, ET AL.

CASE NO.: 26NWCV00511

HEARING: 9/1/2026 @ 9:30 a.m.

#10

TENTATIVE ORDER

Defendants' Special Motion to

Strike pursuant to Code of Civil Procedure section 425.16 is DENIED.

Moving parties to give notice.

Defendants Gholam Baahmadi

("Baahmadi"), Bazoft Automotive II LLC dba Cerritos Mitsubishi ("Bazoft II"),

Bazoft Automotive LLC dba South Coast Mitsubishi ("Bazoft") and Kelly Morales

(collectively "Defendants") move to strike the entirety of Plaintiff Auto

Finance Solutions, LLC's ("Plaintiff") complaint pursuant to Code of Civil

Procedure section 425.16.

Background

Plaintiff provides specialized

financing known as "floorplan financing" to automobile dealerships. "Floorplan financing" provides auto dealerships with lines of credit to purchase and maintain vehicle inventory for

sale to the public. Plaintiff alleges it provided floorplan financing to Defendants Bazoft and Bazoft II pursuant to written agreements ("Flooring Agreements"). Plaintiff alleges Defendant Baahmadi entered into a personal guaranty as to the Flooring Agreements ("Personal Guaranties"). Plaintiff alleges Defendants are in default on the Flooring Agreements and the Personal Guaranties. Plaintiff has sued Defendants in a separate action for breach of the Flooring Agreements and Personal Guaranties.

Plaintiff maintains a commercial banking relationship with Pinnacle Financial Partners ("Pinnacle"). Plaintiff alleges Defendants contacted Pinnacle in December 2025 and January 2026 to make defamatory statements about Plaintiff's business operations.

Specifically, Defendants allegedly informed Pinnacle that Plaintiff had committed fraud, that it engaged in criminal conduct, the FBI and DMV were involved and that Defendants were about to file a criminal complaint with the Attorney General regarding Plaintiff's activities. Plaintiff alleges these accusations were false and were intended to retaliate against it for suing Defendants on the Flooring Agreements and the Personal Guaranties.

On February 11, 2026, Plaintiff filed a complaint against Defendants alleging (1) defamation per se; (2) trade libel; (3) intentional interference with contractual relations; (4) intentional interference with prospective economic advantage; (5) unfair competition; (6) injunctive relief.

In response to the complaint, Defendants filed the instant Special Motion to Strike under Code of Civil Procedure section 425.16 ("SLAPP Motion") on April 20, 2026. Plaintiff filed an opposition on June 24, 2026. Defendants filed a reply on July 1, 2026.

On July 8, 2026, the Court issued a minute order requesting supplemental briefing regarding the applicability of subdivision (e)(2). On July 31, 2026, Defendants filed a supplemental brief. On August 18, 2026, Plaintiff filed a supplemental brief in response. On August 27, 2026, Defendants filed a reply to Plaintiff's supplemental brief.

Legal Standard

“A cause of action against a person arising from any act of that person in furtherance of the person's right of petition or free speech under the United States Constitution or the California Constitution in connection with a public issue shall be subject to a special motion to strike, unless the court determines that the plaintiff has established that there is a probability that the plaintiff will prevail on the claim.” (Code of Civ. Proc., §425.16, subd. (b)(1).)

“As used in this section, ‘act in furtherance of a person's right of petition or free speech under the United States or California Constitution in connection with a public issue’ includes: (1) any written or oral statement or writing made before a legislative, executive, or judicial proceeding, or any other official proceeding authorized by law, (2) any written or oral statement or writing made in connection with an issue under consideration or review by a legislative, executive, or judicial body, or any other official proceeding authorized by law, (3) any written or oral statement or writing made in a place open to the public or a public forum in connection with an issue of public interest, or (4) any other conduct in furtherance of the exercise of the constitutional right of petition or the constitutional right of free speech in connection with a public issue or an issue of public interest.” (Code of Civ. Proc., §425.16, subd. (e).)

“Litigation of an anti-SLAPP motion involves a two-step process. First, the moving defendant bears the burden of establishing that the challenged allegations or claims arise from protected activity in which the defendant has engaged. Second, for each claim that does arise from protected activity, the plaintiff must show the claim has “at least ‘minimal merit. If the plaintiff cannot make this showing, the court will strike the claim.”

(Bonni v. St. Joseph Health System (2021) 11 Cal.5th 995, 1009

(where moving party seeks to strike an entire cause of action alleging multiple factual bases, court does not determine whether 1st prong is met based on “gravamen” test but must determine whether each factual bases supplies the element of claim or merely provides context).)

Bonni expressly rejected the “gravamen” test, which had been applied in the past. (Bonni, supra, 11 Cal.5th at 1009.)

On the first step, “courts are to

consider the elements of the challenged claim and what actions by the defendant supply those elements and consequently form the basis for liability. The defendant's burden is to identify what acts each challenged claim rests on and to show how those acts are protected under a statutorily defined category of protected activity.” (Bonni, supra, 11 Cal.5th at 1009.)

Once defendant demonstrates that a cause of action arises from protected conduct, the burden shifts to plaintiff on the second step to demonstrate that the complaint is both legally sufficient and supported by a sufficient prima facie showing of facts to sustain a favorable judgment if the evidence submitted by the plaintiff is credited. (Navellier v. Sletten (2002) 29 Cal.4th 82, 88-89.) “The second prong of the statute deals with whether the plaintiff has “demonstrated a probability of prevailing on the claim. Under section 425.16, subdivision (b)(2), the superior court, in making these determinations, considers ‘the pleadings, and supporting and opposing affidavits stating the facts upon which the liability or defense is based.’ For purposes of an anti-SLAPP motion, the court considers the pleadings and evidence submitted by both sides, but does not weigh credibility or compare the weight of the evidence. Rather, the court’s responsibility is to accept as true the evidence favorable to the plaintiff. A plaintiff need only establish that his or her claim has minimal merit to avoid being stricken as a SLAPP. With these descriptions in mind, we will not strike a cause of action under the anti-SLAPP statute unless it lacks even minimal merit.” (Ralphs Grocery Co. v. Victory Consultants, Inc. (2017) 17 Cal.App.5th 245, 261.)

The “probability of prevailing” is tested by the same standard governing a motion for summary judgment, nonsuit, or directed verdict. Thus, in opposing a SLAPP motion, it is plaintiff’s burden to make a prima facie showing of facts that would support a judgment in plaintiff’s favor.” (Taus v. Loftus (2007) 40 Cal.4th 683, 714 (a “summary-judgment-like procedure”).)

“Precisely because the statute (1) permits early intervention in lawsuits alleging unmeritorious causes of action that implicate free speech concerns, and (2) limits opportunity to conduct discovery, the plaintiff’s burden of establishing a probability of prevailing is not high: We do not weigh credibility, nor do we evaluate the

weight of the evidence. Instead, we accept as true all evidence favorable to the plaintiff and assess the defendant's evidence only to determine if it defeats the plaintiff's submission as a matter of law. Only a cause of action that lacks 'even minimal merit' constitutes SLAPP." (Overstock.com, Inc. v. Gradient Analytics, Inc. (2007) 151 Cal.App.4th 688, 699.) "In order to establish a probability of prevailing on a cause of action in the context of an anti-SLAPP motion, a plaintiff must state and substantiate a legally sufficient claim." (La Jolla Group II v. Bruce (2012) 211 Cal.App.4th 461, 470.)

Evidentiary Objections

Plaintiff's Objections to

Baahmadi Dec.—SUSTAIN Objection Nos. 9 and OVERRULE Objection Nos. 1-8, 10-11

Defendants' Objections to Abuward

Dec.—SUSTAIN Objection Nos. 1-4 and OVERRULE Objection Nos. 5 and 6

Analysis

Defendants

fail to satisfy their burden on the first prong of SLAPP

On the first prong of SLAPP,

Defendants have the burden of establishing that the causes of action arise from protected conduct. In order to satisfy

that burden, Defendants must identify the alleged protected conduct, the essential element of the cause of action supplied by that conduct and how those acts are protected under a statutorily defined category of protected activity. (Bonni, supra, 11 Cal.5th at 1009.) Defendants do not cite Bonni in their opening brief, nor did they systematically identify the elements of the causes of action supplied by the alleged protected activity. Defendants instead make a blanket statement that the complaint is based on the alleged defamatory statements.

However, based on a review of the

complaint, Plaintiff's causes of action rely on the same conduct to supply an essential element of each claim:

Defendants' communications to Pinnacle in December 2025 and January 2026 regarding Plaintiff's alleged fraudulent and criminal activity. (Complaint, ¶¶17-31.) The essential element supplied by this alleged conduct as to each cause of action is also ascertainable from the face of the complaint. These communications

supply the following essential elements of Plaintiff's causes of action:

(1) First Cause of Action for

Defamation Per Se: element of a false
and unprivileged statement. (Civil Code,
§45; Complaint, ¶52.)

(2) Second Cause of Action for Trade Libel: element of a statement that would be clearly
or necessarily understood to have disparaged the quality of plaintiff's product
or service. (Muddy Waters, LLC v.

Supr. Ct. (2021) 62 Cal.App.5th 905, 925; Complaint, ¶71.)

(3) Third Cause of Action for

Intentional Interference with Contractual Relations: element of conduct intended to interfere with
contract. (Scripps Clinic v. Supr. Ct. (2003) 108
Cal.App.4th 917, 929; Complaint, ¶95.)

(4) Fourth causes of action for intentional

interference with prospective economic advantage: element of independently wrongful conduct
intended to interfere with plaintiff's relationship with third party. (Korea Supply Co. v. Lockheed Martin Corp.
(2003) 29 Cal.4th 1134, 1153; Complaint, ¶¶131-135.)

(5) Fifth cause of action for

Unfair Competition under Business and Professions Code section 17200: element of an unfair business practice. (Bus. &
Prof. Code, §17200; Complaint, ¶173.)

Defendants argue their

communications to Pinnacle qualify as protected conduct under subsections

(e)(2) and (e)(4). Contrary to

Plaintiff's arguments in opposition to the SLAPP (Opposition, 5:14-19),

Defendants have not misidentified the alleged protected conduct. Defendants are not relying on the complaints
submitted to the government agencies to establish protected conduct. Defendants correctly identify Defendants'
private communications to Pinnacle in December 2025 and January 2026 as the allegedly
protected conduct.

The mere fact that the communications

to Pinnacle were private does not preclude a finding that they are protected

conduct under section 425.16. As explained

by the Supreme Court in *Wilson v. Cable News Network, Inc.* (2019) 7

Cal.5th 871, 903, private communications "may qualify as protected activity

in some circumstances.” (Wilson, *supra*, 7 Cal.5th at 903; see also *Contemporary Services Corp. v. Staff Pro Inc.* (2007) 152 Cal.App.4th 1043, 1055 (private email providing litigation update to nine customers who were involved in litigation between plaintiff and defendant for defamation and unfair competition qualified as protected conduct under (e)(2).) The one exception to this rule is subdivision (e)(3), which expressly requires that the statement have been made in a public forum. (Wilson, *supra*, 7 Cal.5th at 903.) Plaintiff refocuses its arguments in its supplemental brief on whether the private communications were “in connection” with an issue under consideration by a governmental body under subdivision (e)(2) or a public issue under subdivision (e)(4).

Defendant

fails to establish that the statements qualify as protected conduct under (e)(2)

“Section 425.16, subdivision

(e)(2) protects only those ‘written or oral statement[s] or writing[s] made in connection with an issue under consideration or review.’ The subdivision thus appears to contemplate an ongoing—or, at the very least, immediately pending—official proceeding. Conversely, if an issue is not presently ‘under consideration or review’ by such authorized bodies, then no expression—even if related to that issue—could be ‘made in connection with an issue under consideration or review.’ (§ 425.16, subd. (e)(2).)” (*Rand Resources, LLC v. City of Carson* (2019) 6 Cal.5th 610, 627 (city attorney’s statement regarding renewal of exclusive agency agreement between city and plaintiff did not qualify as protected conduct under (e)(2) because statement was made two years before renewal proceedings before City Council)(emphasis added); see also *Doe v. Ledor* (2023) 97 Cal.App.5th 731, 742, 743 (subdivision (e)(2) only applies to statements made in connection with an issue under review in ongoing or immediately pending official proceeding; defendants’ email informing Dartmouth of fraud allegations were not protected under (e)(2) because it related to issue that had already been reviewed and considered in an official proceeding that had concluded at the time email was sent).)

A statement is “in connection with” litigation under CCP § 425.16(e)(2) if it relates to substantive issues in the litigation and is directed to persons having some interest in the litigation. (*Contemporary Services*

Corp., supra, 152 Cal.App.4th at 1055 (email to customers accusing competitor of litigation-related misconduct).)

The persons need not be parties or potential parties to the litigation. (Id.) “Just as communications preparatory to or in anticipation of the bringing of an action or other official proceeding are within the protection of the litigation privilege of Civil Code section 47, subdivision (b)...such statements are equally entitled to the benefits of section 425.16. The fact that the communication was made to other private citizens rather than to the official agency does not exclude it from the shelter of the anti-SLAPP suit statute.” (Dove Audio, Inc. v. Rosenfeld, Meyer & Susman (1996) 47 Cal.App.4th 777, 784.)

Communications made in connection with litigation contemplated in good faith are treated as “under consideration ... by a judicial body” within the meaning of CCP § 425.16(e)(2), just as such communications are within the Civ.C. § 47(b) litigation privilege). (Neville v. Chudacoff (2008) 160 Cal.App.4th 1255, 1262-1263 (anti-SLAPP motion properly granted in defamation action based on Defendant warning its customers not to do business with Plaintiff to avoid involvement in impending litigation over misappropriation of Defendant's customer lists).)

However, litigation is not “under consideration,” and thus prelitigation activity does not constitute protected activity under the anti-SLAPP statute, where litigation is only a “possibility.” (People ex rel.

Allstate Ins. Co. v. Rubin (2021) 66 Cal.App.5th 493, 499-502, 280 CR3d 858, 861-864 (preparation of medical reports and bills in support of insurance claims was not protected prelitigation activity where preparation of reports and bills was routine and usual course of business, which may or may not have resulted in litigation); Medallion Film LLC v. Loeb & Loeb LLP (2024) 100 Cal.App.5th 1272, 1285-1286 (statement made when “litigation is just a negotiating tactic or a hypothetical possibility” not protected).)

Defendants establish that

Pinnacle would have some interest in an investigation by the Attorney General based on Defendants' complaints, which were attached in emails to Pinnacle in January 2026. (Complaint, Exs. 1 and 2.) Defendants' complaint alleged that Plaintiff obtained large credit lines from banks under the false pretense that the funds would be used for floorplan financing, when in fact Plaintiff used those credit

lines for purposes other than floorplan financing. (Id.; SLAPP Motion, Baahmadi Dec., ¶15.) Such an allegation implicates the interest of Plaintiff's lenders, which includes Pinnacle.

However, Defendants fail to establish that their fraud allegations were "under consideration or review by a legislative, executive or judicial body" when the statements were made in December 2025 and January 2026. Defendants also fail to establish that the statements were made when proceedings by a legislative, executive or judicial body to consider or review their fraudulent allegations were "imminently pending."

Defendants rely on the declaration of Baahmadi and Exhibits 1 and 2 to the Complaint to establish that Plaintiff's alleged fraud was under consideration or review by the DMV and the California Department of Justice in an ongoing or immediately pending official proceeding. None of this evidence establishes the Defendants' fraud allegations against Plaintiff were under review in an ongoing official proceeding before the DMV or DOJ or that they would be under review in an immediately pending proceeding before either entity.

Exhibit 1 to the Complaint is a January 26, 2026 email with the sender and recipient redacted. Plaintiff alleges that the email was sent to Pinnacle from Baahmadi. (Complaint, ¶126.) In the body of the email, there appears to be a forwarded email from Defendants to redacted email addresses with the email extensions of "dmv.ca.gov" and "doj.ca.gov." (Complaint, Ex. 1.) The forwarded email purports to submit a fraud complaint against Plaintiff to "multiple federal and state enforcement agencies." (Id.)

Exhibit 2 to the Complaint is a January 28, 2026 email also with the sender and recipient's identity redacted. Embedded in the email is what appears to be a forwarded email from to a recipient whose identity is redacted. In the forward email from , is a "letter" that is a "formal complaint and request for investigation into the lending and operational practices" of Plaintiff. (Complaint, Ex. 2.) The January 28, 2026 email was only sent to an email address with the extension @PNFP.COM. (Id.) Plaintiff alleges it was sent to Pinnacle. (Complaint, ¶128.)

The identities of the recipients of Exhibits 1 and 2 are redacted. The email therefore fails to establish the fraud allegations were submitted to the DMV and DOJ. The Court cannot find that Defendants emailed the fraud complaints against Plaintiff to the DMV and DOJ based solely on email extensions.

Defendants also fail to present any evidence that simply emailing their complaint to the unidentified recipients was sufficient to place their fraud allegations against Plaintiff under review or consideration by the DMV or the DOJ in an official proceeding, nor do Defendants present any evidence that doing so would trigger an “immediately pending” official proceeding to review the allegations. Defendants present no evidence of the procedure by which a consumer or member of the public can submit a complaint against someone for investigation, review or consideration by the DMV or the DOJ. Defendants provide no evidence that the purported complaint was ever received or acknowledged by the DMV or DOJ, or that there is an ongoing or imminent official proceeding regarding Defendants’ fraud allegations before either entity.

Defendants’ evidence raises the possibility that Defendants would initiate a proceeding with governmental entities that would trigger review or consideration. Had Defendants presented the unredacted emails, along with evidence that those emails ultimately initiated some review of the complaint by the governmental entities, even an acknowledgement or receipt of the complaint and an indication that the complaint would be reviewed or that it was rejected for some reason, Defendants would have a stronger case for application of subdivision (e)(2).

Defendant Baahmadi’s declaration does not change the analysis. Baahmadi does not authenticate the emails nor does he attach unredacted copies of the email to his declaration. Baahmadi testifies that he sent the emails attached to Plaintiff’s Complaint as Exhibits 1 and 2 or caused them to be sent to Pinnacle. (Baahmadi Dec., ¶15.) Baahmadi also implies that he was responsible for the alleged phone calls to Pinnacle made in December 2025. (Id.) Baahmadi testifies that, “all statements made by me or at my direction to Pinnacle at or around the time complaints were

submitted to government agencies were made in good faith, without malice toward AFS, and were made in contemplation of, or in furtherance of, official government proceedings. (Id. at ¶16.)

None of this testimony establishes that Defendants' fraud allegations against Plaintiff were under consideration or review by a governmental body in an ongoing proceeding or that such a proceeding was imminently pending. Again, the emails do not establish that Defendants' fraud allegations were submitted to the DMV or DOJ for review or consideration. Even if the redacted emails established that the fraud allegations were submitted to the DMV and DOJ, the Court cannot assume that emailing the fraud allegations to an unidentified recipient at the DMV and DOJ triggered the process of review or consideration of those allegations. Baahmadi does not testify that Defendants' emails resulted in an ongoing official proceeding to review and consider their fraud allegations against Plaintiff or that such a proceeding is imminently pending.

Defendants' argue in their August 27, 2026 reply that "Plaintiffs fail to cite case law suggesting" that phone calls and Emails 1 and 2 "do not qualify for anti-SLAPP or litigation privilege protection." (8/27/26 Reply, 4:10-12.) However, it is Defendants' burden on the first prong to establish that these communications are protected conduct under subdivision (e)(2). Defendants' arguments fail to address the "ongoing" or "immediately pending" requirement discussed in *Rand Resources, LLC v. City of Carson* (2019) 6 Cal.5th 610, 627, nor do Defendants establish with evidence that there is such an ongoing or immediately pending proceeding.

Defendants argue *Dove Audio, Inc. v. Rosenfeld, Meyer & Susman* (1996) 47 Cal.App.4th 777 holds that communications preparatory to or in anticipation of bringing an action or other official proceeding, even if made to a third party, are protected by SLAPP and the litigation privilege. (8/27/26 Reply, 2:26-28.) *Dove* also involved a letter sent to third parties expressing the intent to file a complaint with the Attorney General's office. (*Dove Audio, Inc.*, supra, 47 Cal.App.4th at 780.)

However, whether there was an ongoing or immediately pending official proceeding at the time the letter was sent was not discussed or disputed in Dove. Instead, the plaintiff in Dove argued that (e)(2) did not apply, because an investigation by the Attorney General was not an “official proceeding” under (e)(2).

The Court of Appeals found investigations by the Attorney General to be an “official proceeding” under (e)(2). Plaintiff does not dispute that an investigation by the Attorney General would qualify as an official proceeding. Plaintiff only argues that there was no ongoing or immediately pending proceeding when the communications were made to Pinnacle.

Moreover, Dove was decided in 1996, only four years after SLAPP was initially enacted in 1992. Rand Resources clarified in 2019 that there must be an ongoing or immediately pending proceeding at the time the statements were made for (e)(2) to apply. Defendants’ evidence simply fails to make such a showing.

Defendants also argue Contemporary Services Corp. v. Staff Pro Inc. (2007) 152 Cal.App.4th 1043 held that private emails to nonparties to an ongoing litigation were protected under (e)(2). Again, the issue here is not that the emails were private emails to nonparties to the contemplated official proceeding. The issue is whether there was an ongoing or immediately pending official proceeding when the statements were made. As Defendants admit, there was an ongoing litigation in Contemporary Services Corp. and the email in question was a litigation update. (Contemporary Services Corp., supra, 152 Cal.App.4th at 1054.)

Defendants also assume that the litigation privilege and Code of Civil Procedure section 425.16 subdivision (e)(2) are interchangeable. While the litigation privilege and the SLAPP statute overlap, they are not identical and they serve different purposes. (Bonni, supra, 83 Cal.App.5th 288, 301.) For example, “[s]tatements made in arbitration may be protected by the litigation privilege. But statements protected by the litigation privilege are not necessarily protected by the

anti-SLAPP statute.” (Zhang v.

Jenevein (2019) 31 Cal.App.5th 585, 596.)

In Rand Resources, the Supreme Court imposed an “ongoing” or “immediately pending” requirement to subdivision (e)(2), but it did not address the litigation privilege. However, well-established law regarding the litigation privilege requires that the communication “have some relation to an imminent or judicial proceeding which is actually contemplated seriously and in good faith to resolve a dispute....” (Edwards v. Centex Real Estate Corp. (1987) 53 Cal.App.4th 15, 36.)

Defendants fail to establish that the alleged conduct qualifies as protected conduct under subsection (e)(2). There is no evidence that Defendants’ communications to Pinnacle in December 2025 and January 2026 were made in connection with an issue under consideration or review by a legislative, executive, or judicial body, or any other official proceeding authorized by law.

Defendants

fail to establish protected conduct under subdivision (e)(4), the “catch all” provision

Under subdivision (e)(4), protected conduct includes, “any other conduct in furtherance of the exercise of the constitutional right of petition or the constitutional right of free speech in connection with a public issue or an issue of public interest.” (Code of Civ. Proc., §425.16, subd. (e)(4).)

“The inquiry under the catchall provision instead calls for a two-part analysis rooted in the statute’s purpose and internal logic. First, we ask what ‘public issue or issue of public interest’ the speech in question implicates—a question we answer by looking to the content of the speech. Second, we ask what functional relationship exists between the speech and the public conversation about some matter of public interest. It is at the latter stage that context proves useful.” (FilmOn.com Inc. v. DoubleVerify Inc. (2019) 7 Cal.5th 133, 149-150.)

“In articulating what constitutes a matter of public interest, courts look to certain specific considerations,

such as whether the subject of the speech or activity was a person or entity in the public eye or could affect large numbers of people beyond the direct participants; and whether the activity occurred in the context of an ongoing controversy, dispute or discussion, or affect[ed] a community in a manner similar to that of a governmental entity.”

(FilmOn.com Inc., supra, 7 Cal.5th at 145–146.)

In determining whether conduct was “in connection with a public issue,” “a court must consider the context as well the content of a statement in determining whether that statement furthers the exercise of constitutional speech rights in connection with a matter of public interest.” (Id. at 149.) Whether conduct is commercial or noncommercial is one aspect of context that the court must examine in applying the catchall provision, but it is not determinative. (Id. at 148.)

“[I]t is not enough that the statement refer to a subject of widespread public interest; the statement must in some manner itself contribute to the public debate.” (FilmOn.com Inc., supra, 7 Cal.5th at 150.) “We are not concerned with the social utility of the speech at issue, or the degree to which it propelled the conversation in any particular direction; rather, we examine whether a defendant—through public or private speech or conduct—participated in, or furthered, the discourse that makes an issue one of public interest.” (Id. at 151.) “But the inquiry of whether a statement contributes to the public debate is one a court can hardly undertake without incorporating considerations of context—including audience, speaker, and purpose.” (Id. at 151-152.)

Thus, in *Filmon*, the Supreme Court found that while defendant’s confidential reports to clients regarding plaintiff’s copyright infringement and adult content on the Internet discussed issues of public interest, the reports were not conduct “in connection with” those issues under (e)(4). (Filmon, supra, 7 Cal.5th at 152.) The Supreme Court explained that the context of those reports did not support a finding that they were made “in connection with” issues of public interest. The Supreme Court noted that the reports intended for the private use of defendant’s clients. The reports were “did not enter the public sphere, and the parties never intended them to.” (Id. at 153.)

However, the private nature of the reports was not determinative, nor was the commercial nature of the speech. “[A] court must consider whether a statement—including the identity of its speaker, for example, or the audience sought—contributes to or furthers the public conversation on an issue of public interest. It is by carefully observing this wedding of content and context that we can discern if conduct is “in furtherance of” free speech “in connection with” a public issue or issue of public interest. What this union of content and context lets us discern in this case is that DoubleVerify’s report does not qualify for protection under the catchall provision of the anti-SLAPP statute.” (Id. at 154.)

“FilmOn’s first step is satisfied so long as the challenged speech or conduct, considered in light of its context, may reasonably be understood to implicate a public issue, even if it also implicates a private dispute. Only when an expressive activity, viewed in context, cannot reasonably be understood as implicating a public issue does an anti-SLAPP motion fail at FilmOn’s first step.” (Geiser v. Kuhns (2022) 13 Cal.5th 1238, 1253-1254.)

In assessing FilmOn’s first step, a court must make an “objective inquiry, without deference to the movant’s framing or personal motivations. A court evaluating an anti-SLAPP motion should take the position of a reasonable, objective observer.” (Id. at 1254.)

“FilmOn’s first step asks what issue or issues the challenged activity may reasonably be understood to implicate. On that question, the movant’s beliefs, motivations, or characterizations may be relevant and, if objectively reasonable, will inform the analysis. But they are not themselves dispositive and, if not objectively reasonable, will not carry weight. If a reasonable inference can be drawn that the challenged activity implicates a public issue, then the analysis proceeds to FilmOn’s second step.” (Id. at 1254.)

Defendants fail to cite or apply FilmOn’s two-part test to establish protected conduct under (e)(4). Defendants argue that the phone calls and emails were intended to warn consumers of Plaintiff’s risky lending

practices. Defendants argue Pinnacle is a major financing institution and if one of their customers is falsifying loan applications, it could have a broad reaching financial impact. At best, Defendants' arguments address the first step of the FilmOn analysis.

The threshold to satisfy FilmOn's first step is low and as explained in Geiser, the first step of FilmOn's is satisfied "so long as the challenged speech or conduct, considered in light of its context, may reasonably be understood to implicate a public issue." (Geiser, supra, 13 Cal.5th at 1253-1254.) As alleged, the phone calls and emails could reasonably be understood to implicate a public issue, specifically loan fraud and risky lending practices.

However, even if the first step of FilmOn's analysis were satisfied, Defendants were also required under the second step to establish that the alleged statements "in some manner [themselves] contribute[d] to the public debate," and that Defendants "through public or private speech or conduct—participated in, or furthered, the discourse that makes an issue one of public interest." (FilmOn, supra, at 151.) Defendants do not address the second step of FilmOn's at all, nor may the Court formulate an argument for Defendants based on the papers. (Hester v. Public Storage (2020) 49 Cal.App.5th 668, 681 (court is not "required to examine undeveloped claims or make [plaintiff's] arguments for [him]); Quantum Cooking Concepts, Inc. v. LV Assocs., Inc. (2011) 197 Cal.App.4th 927, 931, 933 (court has "no obligation to undertake its own search of the record backwards and forwards to try to figure out how the law applies to the facts of the case").)

In determining whether a statement contributes to the public debate, a court must consider "context, including audience, speaker, and purpose." (FilmOn, supra, at 151-152.) Thus, in Geiser, the Supreme Court found subdivision (e)(4) applied to the plaintiffs' sidewalk protests against a real estate developer who purchased their home at foreclosure and evicted them. (Geiser, supra, 13 Cal.5th at 1243.) Geiser explained that the second step of FilmOn was satisfied considering the context of the conduct in question. The conduct was

a sidewalk protest attended by 25 to 30 demonstrators. (Id. at 1244.) The protest received media coverage. (Id. at 1255.) The demonstration was about more than

plaintiffs' loss of their home, implicating public issues concerning unfair foreclosure practices and residential displacement. (Id. at 1250.)

In contrast, the communications at issue in FilmOn were disparaging statements made in a confidential report disseminated to clients. (FilmOn, supra, 7 Cal.5th at 140.)

While the reports abstractly implicated issues of public interest, the Court ultimately found the reports did not contribute to the public debate on such issues. (Id. at 152-153.)

Here, the alleged calls and emails that form the basis of Plaintiff's complaint were private communications directed solely to Pinnacle. Defendant Baahmadi testifies that he wanted to report Plaintiff's alleged wrongdoing to Pinnacle, because Plaintiff's practices directly impacted Pinnacle and in hopes that Pinnacle would investigate. (SLAPP Motion, Baahmadi Dec., ¶15.) Based on the context within which the calls and emails were sent, Defendants did not participate in, further or contribute to the public debate regarding fraudulent lending practices. Defendants alleged conduct is more analogous to the confidential report distributed to clients in FilmOn than it is to the sidewalk protests in Geiser. Defendants therefore fail to establish that the alleged statements are protected conduct under subdivision (e)(4).

The second prong of SLAPP need not be reached

Defendants failed to satisfy their first prong burden on the SLAPP Motion. The burden therefore does not shift to Plaintiff on the second prong and the Court need not reach the merits of Plaintiff's second prong showing.

Conclusion

Defendants' Special Motion to Strike pursuant to Code of Civil Procedure section 425.16 is DENIED.